2016	Sale price 11,030	4,252
Total		**9,604**

With a present price tag of around $11 billion and an intrinsic value range of $8 to $18 billion, I'd not be especially enthused about this investment. There isn't that much upside and a fairly decent chance of delivering under 10 percent a year. For me, it's an easy pass.

We're getting off track. The objective of this exercise is not to figure out whether to invest in BBBY stock—it is simply to demonstrate that while John Burr Williams's definition of intrinsic value is painfully simple, calculating it for a given business may not be so simple. I think of BBBY as a fairly straightforward, low-tech, and simple business to understand. Even with its simplicity, we end up with a pretty wide range on its intrinsic value.

If we were to look at a business like Google, it starts getting very complicated. Google has undergone spectacular growth in revenues and cash flow over the past few years. If we extrapolate that into the future, the business appears to be trading at a big discount to its underlying intrinsic value. If we assume that not only is its growth rate likely to taper off, but that its core search business monopoly may be successfully challenged—by Microsoft, Yahoo, or some upstart—the picture is quite different. In that scenario, the current valuation of Google might well be many times its underlying intrinsic value.

The Dhandho way to deal with this dilemma is painfully simple: Only invest in businesses that are simple—ones where conservative assumptions about future cash flows are easy to figure out. What businesses are simple? Well, simplicity lies in the eye of the beholder.

Papa Patel bought a business that's very easy to understand. The motel had long histories of revenues, cash flows, and profitability available for analysis. From that data, it is not too hard to get a ball park range of estimated cash flow that the motel is likely to generate in the future. Papa Patel also has a good handle on potential repairs and capital expenses that